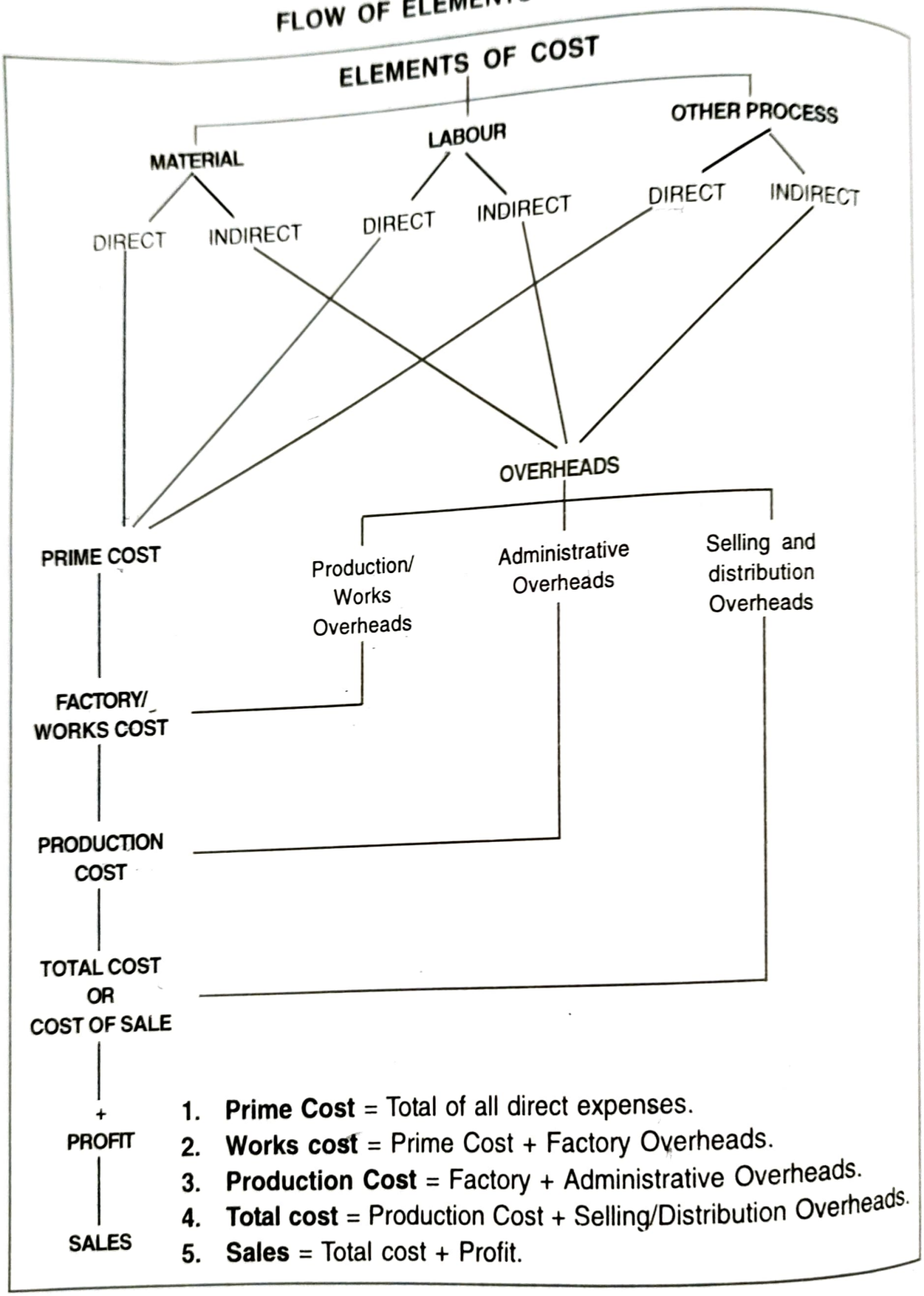
Chart 5.1

FLOW OF ELEMENTS OF COST



1. **Prime Cost** = Total of all direct expenses.
2. **Works cost** = Prime Cost + Factory Overheads.
3. **Production Cost** = Factory + Administrative Overheads.
4. **Total cost** = Production Cost + Selling/Distribution Overheads.
5. **Sales** = Total cost + Profit.

5.3.1 MATERIAL :

Material used in the production process is divided into direct and indirect material.

Direct Material :

The material which can be identified, measured and directly charged to the product is called direct material. Following items are considered as direct material.

i) All raw materials like cloths in dress making and bricks, cement, iron, rods in construction of building, wood in furniture making.

ii) Material specifically purchased for a job, process e.g. glue for book binding, starch powder for dressing yarn etc.

iii) Different parts purchased or produced for use in the main product e.g. tyres, mirrors, stands, etc. for motor cycle, batteries for cell phone etc.

iv) Packing material for easy handling or to protect finished product from climatic condition.

Indirect Material :

The material which cannot be identified, measured and charged directly to the product is called indirect material. E.g. water, tiles used in construction of building; lubricants, cleaning material used in repairs and maintenance of fixed assets like crane; high speed diesel used in power generation etc.

Classification of material into direct and indirect helps the management in controlling material cots. As the material forms major component of cost it is necessary to analyse it in detail in order to reduce the cost of production. Application of special techniques in material control become easier.

5.3.2 LABOUR :

Labour used in the production process is divided into direct and indirect labour.

Direct labour : Similar to direct material direct labour is the part of labour charges which can be identified, measured and charged to a product. Labour charges paid for production of an article, a unit of finished product are direct labour.

e.g. wages paid to workers working in the sugar factory, wages paid to mason or brick layer in construction of the building etc. The efforts and time spent by labours can be measured directly in cost of direct labour.

Indirect Labour : The labour charges which can not be identified, measured and charged to the product directly is indirect labour. E.g. salary of office staff of a sugar factory, salary of supervisors in the construction of building, etc. The efforts and time spent on a product by those labours can not be traced out and measured directly with the unit of finished product.

5.3.3 OTHER EXPENSES :

Similar to material and labour, other expenses are also divided into direct and indirect expenses.

Direct Expenses : The expenses which can be identified, measured and charged directly to unit of finished product are called direct expenses. Those expenses are specifically related with the product, job, process or department. e.g. royalty, excise duty, cost of plan estimate and the model of building, charges paid to the draftsman in the construction of building.

Indirect Expenses : The expenses which cannot be identified, measured and charged directly to the product unit, process or a job are indirect expenses. Together, they are called overheads which are explained below in detail.

5.4 OVERHEADS

The expenses which can not be identified, measured and charged directly to a unit produced, process or a job are indirect expenses. They are related with material labour and other incidental charges. **Total of all indirect expenses is termed as overheads.**

Classification of overheads : When the overhead expenses are classified on the basis of functions or activities, it is called functional classification of overheads. Under this classification, Manufacturing / works / factory overheads, administrative overheads, selling and distribution overheads and research and development overheads are the three classes of costs. These are discussed below.

a) Manufacturing / Factory / Works Overheads : These are indirect expenses incurred in the factory / workshop. Supervisors' and foremen's salary, Repairs and maintenance of machinery, fueling, oiling and cleaning charges, depreciation on machinery and plant etc are some examples of manufacturing overheads.

b) Administrative Overheads : This expenditure relates to formulation of policies, organising directing and controlling overall operations of an undertaking. Such expenses can not be identified, measured and charged directly to the unit of product e.g. rent of office and all office expenses, salary of office staff etc.

c) Selling and Distribution Overheads : Some times these expenses are divided into selling and distribution and measured separately.

i) **Selling Overheads :** The expenses incurred on creating demand, securing orders and retaining customers are selling overheads. E.g. sales office expenses, salary and commission of salesman, advertisement expenses, expenditure on organisation of shows, demonstration etc.

ii) **Distribution Overheads :** These are expenses incurred on transfer of goods from the production place to the place of customer / consumer. It includes warehouse charges, rent, insurance, expenditure on delivery van, packing etc.

d) Research and Development Overheads : Expenditure incurred on innovations in the process or method are included under this group. Application of innovation improves the product life, usefulness and reduces cost.

5.5 EXPENSES EXCLUDED FROM COSTS

Expenses relating to capital assets, capital losses and items of pure financial nature do not form part of cost. Therefore they are excluded from costs. E.g. Payment of dividend, income tax, normal wastages of material, abnormal payments, interest on loan / capital, preliminary expenses, discount on issue of shares / debentures expenses on issue of share / debentures, etc.

5.6 PREPARATION OF COST SHEET

Cost sheet is the statement which shows element wise breakup of cost of production and sale. There is no standard format of cost sheet. It is prepared in columnar form. Number of columns may be increased to show total cost and per unit cost for current year, previous year and the budget for next year, as per requirement. Data recorded in cost sheet is derived from financial accounting, if separate cost record is not maintained. The condensed form of cost sheet is given below.

COST SHEET

	Total Cost Rs.	Per Unit Cost Rs.
Direct Materials	xxxx	xx
Direct Labour	xxxx	xx
Other Direct Expenses	xxxx	xx
Prime Cost	**xxxxx**	**xxx**
Add : Works Overheads	xxxx	xx
Works Cost	**xxxxx**	**xxx**
Add : Administration Overheads	xxx	xx
Cost of Production	**xxxxx**	**xxx**
Add : Selling and Distribution Overheads	xxx	xx
Total Cost or Cost of Sale	**xxxxxx**	**xxxx**

The detailed cost sheet showing various elements of cost and profit is given below.